

OTC MARKETS GROUP INC.

A Delaware Corporation

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Federal EIN: 13-3941069
NAICS: 523210
SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended June 30, 2021

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock
\$0.01 Par Value Per Share
14,000,000 Shares Authorized
11,769,301 Shares Outstanding as of July 30, 2021
OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

Table of Contents

Item 1	The exact name of the issuer and the address of its principal executive offices	3
Item 2	Shares outstanding	4
Item 3	Unaudited interim condensed consolidated financial statements	5
Item 4	Management's discussion and analysis	6
Item 5	Legal proceedings	22
Item 6	Defaults upon senior securities	22
Item 7	Other information	22
Item 8	Exhibits	22
Item 9	Certifications	22

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the “Quarterly Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group”, “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, the impact of the COVID-19 pandemic, including changes to trading behavior broadly in the market, and the risk factors discussed under the heading “Risk Factors” in our Annual Report for the year ended December 31, 2020. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market and the Pink® Open Market for over 11,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company connects a diverse network of broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for their investors.

The address of the issuer is: **300 Vesey Street, 12th Floor
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400
Facsimile: (212) 868-3848**

The issuer's website:

OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.garavan.com, www.virtualinvestorconferences.com, www.lifesciencesinvestorforum.com and www.lifescienceinvestorforum.com. The information contained on such websites shall not be deemed incorporated by reference herein.

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Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A Common Stock of \$0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), or qualified under any state securities laws, and we have no current plans to register or qualify any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144 and may be eligible for resale in the future.

The following table shows Class A Common Stock share ownership as of June 30, 2021:

	June 30, 2021
(i) Number of shares authorized	14,000,000
(ii) Number of shares outstanding	11,769,213
(iii) Number of shares freely tradable (public float) ⁽¹⁾⁽²⁾	7,363,122
(iv) Total number of holders of record	199

(1) The number of shares freely tradable may include shares held by stockholders owning 10% or more of our Class A Common Stock. These stockholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.

(2) Our officers and directors hold approximately 4.3 million shares of our Class A Common Stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of June 30, 2021, there are 1,417 non-objecting beneficial stockholders owning at least 100 shares of the Company's Class A Common Stock.

Our Class A Common Stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our

financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the six months ended June 30, 2021, our Board of Directors authorized and approved the following cash dividends:

Declaration Date	Dividend Per Common Share	Record Date	Total Amount (in thousands)	Payment Date
March 12, 2021	\$ 0.15	March 23, 2021	\$ 1,765	March 31, 2021
May 3, 2021	0.15	June 11, 2021	1,766	June 24, 2021

On August 2, 2021, the Board of Directors authorized and approved a quarterly cash dividend of \$0.18 per share of Class A Common Stock. The quarterly cash dividend is payable on September 22, 2021 to stockholders of record on September 8, 2021. The ex-dividend date is September 7, 2021.

Stock Repurchase Program

On March 12, 2021, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A Common Stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act" or "SEA").

The following table shows purchases made by the Company of the Company's Class A Common Stock during the six months ended June 30, 2021.

Date	Number of Shares Purchased	Average Price Paid Per Share	Number of Shares Purchased as Part of Announced Repurchase Plan	Number of Shares Remaining To Be Purchased Under Announced Plan
Feb 2021	44,691	\$34.00	44,691	255,309
Mar 2021	42	\$41.00	42	255,267
Mar 2021				300,000

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three and six months ended June 30, 2021 and June 30, 2020, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction

with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2020. The December 31, 2020 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements contained in our Annual Report for the year ended December 31, 2020, but does not include all disclosures required by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2021.

Item 4. Management's discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSS.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We operate regulated trading systems, connect brokers, incentivize disclosure and organize securities. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We offer an open, competitive platform that provides a wide spectrum of companies with the benefits of being public, and acts as a gateway for global companies to access the U.S. markets.

Our Business

Our wholly owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSS. In late 2020, OTC Link LLC filed an initial operation report with the SEC to operate a third ATS, known as OTC Link NQB, which is expected to launch in the third quarter of 2021. For more information regarding OTC Link NQB, see *Recent Business Developments*, below.

OTC Link ATS offers our FINRA registered broker-dealer subscribers a fully-attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSS, including Electronic Communication Networks ("ECNs"). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. OTC Link ATS operates as a Qualified Interdealer Quotation System ("Qualified IDQS" or "QIDQS") and delivers trade messages, allowing subscribers to execute or negotiate bilateral trades with known counterparties.

OTC Link ECN functions as a matching engine and router for certain OTC securities, complementing OTC Link ATS by providing subscribers with anonymous order matching functionality. OTC Link ECN acts as the executing party on an agency basis in relation to all transactions executed on the ECN's platform. When orders do not match internally on OTC Link ECN's matching engine, they are routed to another market destination. Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA's OTC Reporting

Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in supporting the broker-dealer trading process, and our interaction with issuers, we generate a significant amount of market data and information. Our market data includes real-time, delayed and end-of-day quotation and trading data, as well as security master data, company data and compliance data.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity and third-party market data redistributors and Order Management Systems (“OMS”). We generate a majority of our Market Data Licensing revenues from sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market, the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. To join OTCQX, companies must meet minimum financial, disclosure and qualitative standards, pay annual fees, and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon renewal.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX market for U.S. companies, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards associated with a U.S. exchange listing, and (ii) emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for entrepreneurial and development-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is also open to international companies that trade in the U.S. in reliance on one of various available exemptions from SEC registration and to domestic companies that meet our Alternative Reporting Standard and the applicable OTCQB Standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as “Pink Current Information”, “Pink Limited Information” or “Pink No Information” based on the sufficiency and timeliness of the information they provide to investors. Pink companies can subscribe to our OTC Disclosure & News Service® (“DNS”) to make current information available to their investors on our website and through our distribution channels in accordance with the Pink Basic Disclosure Guidelines.

We publish company and security-level compliance flags to help investors identify opportunity and quantify risk. For example, companies whose stock is the subject of a public interest concern are flagged “Caveat Emptor,” or buyer beware.

We also operate an Expert MarketSM tier with limited quote distribution.

Recent Business Developments

Impact of the Ongoing COVID-19 Pandemic

Considerable uncertainty remains regarding the trajectory of the ongoing COVID-19 pandemic and its potential impact on global, regional and national economic conditions.

We have continued to operate our business with a majority of our employees working remotely since March 2020. Pursuant to our Business Continuity Plan, we are able to operate normally while connecting remotely. With the lifting of various COVID-19 restrictions, we have begun to develop our plan for bringing employees back to the office. We will continue to evaluate the unfolding situation and plan to take a conservative and measured approach to returning to our offices that balances the health and safety of our colleagues, operational effectiveness and our ability to serve our subscribers.

The ongoing COVID-19 pandemic did not have an adverse effect on our revenues and financial results for the three or six months ended June 30, 2021. However, it is possible that the current global economic conditions and the ongoing COVID-19 pandemic could have an adverse effect on our future business, financial condition and results of operations.

The potential impact on our financial results is discussed further in the *Trends in Our Business* section, below.

OTC Link NQB

In late 2020, OTC Link filed an initial operation report with the SEC to operate a third ATS, known as OTC Link NQB. OTC Link NQB will function as an IDQS and will offer a fully-attributable matching engine model to our subscribers. It will also allow our Market Data Licensing business to distribute depth-of-book market data. We anticipate launching OTC Link NQB in the third quarter of 2021. OTC Link NQB will have Consolidated Audit Trail (“CAT”) and Regulation ATS requirements upon commencing its operations. It is not yet possible to predict how successful the launch of OTC Link NQB will be or the impact it will have on our financial results.

Virtual Investor Conferences® Business

We have continued to devote internal resources to growing our Virtual Investor Conferences (“VIC”) business. As the COVID-19 pandemic continues to require remote working arrangements, the VIC allows issuers to communicate and engage with stockholders and potential investors. During the six months ended June 30, 2021, we hosted 17 VICs, with a total of 314 companies participating, compared to 13 VICs, with a total of 147 companies participating, during the same prior year period.

Recent Regulatory Developments Impacting our Business

SEC Final Rule Amending Exchange Act Rule 15c2-11

On September 16, 2020, the SEC published a Final Rulemaking on Publication or Submission of Quotations without Specified Information, amending Rule 15c2-11 under the Exchange Act (“Rule 15c2-11” or “Amended Rule 15c2-11”). Rule 15c2-11 governs the ability of broker-dealers to publish quotations in an IDQS such as our OTC Link ATS. OTC Link LLC and OTC Link ATS, our broker-dealer subscribers, and companies quoted on our markets must comply with Amended Rule 15c2-11 on or before September 28, 2021 (the “Compliance Date”).

Subject to certain limited exceptions, Amended Rule 15c2-11 will generally prohibit broker-dealers from submitting or publishing quotations in securities on OTC Link ATS unless current information about the company is publicly available. Amended Rule 15c2-11 will permit OTC Link ATS, as a Qualified IDQS, to perform the required information review to determine whether a security is eligible for public quoting. Under the new framework, broker-dealers can rely on our information review and current information designations in submitting quotations on our OTC Link ATS. The ability to perform the necessary information review requirements as a Qualified IDQS will streamline the onboarding of securities onto our markets, incentivize ongoing company disclosure and relieve broker-dealers of the obligation to independently review company information.

Under Amended Rule 15c2-11, companies that do not make current information available, and do not meet one of the enumerated exemptions, will no longer be eligible for public broker-dealer proprietary quotations on OTC Link ATS. This may include securities designated as Pink No Information, certain shell companies, and those for which priced broker-dealer quotations are not available.

As a general matter, companies on the OTCQX and OTCQB markets, and companies designated as Pink Current Information and Pink Limited Information, will be eligible for continued public quoting on our markets. However, Amended Rule 15c2-11's new requirements, including those applicable to shell and other non-operational companies, as well as new standards relating to unsolicited quoting, may impact companies on the OTCQB and Pink markets.

Non-compliant companies (e.g. those currently designated as "Pink No Information") may apply to OTCQX, OTCQB or DNS to comply with the information requirements under Rule 15c2-11. To give our Issuer Services team sufficient time to process new customer applications and confirm the availability of current public information in advance of the September 28, 2021 Compliance Date, we asked companies to submit applications before June 30, 2021.

The SEC published a Notice of Proposed Conditional Exemptive Order in December 2020 to allow broker-dealers to publish proprietary quotations in securities that are no longer eligible for public quoting under Amended Rule 15c2-11 (the "Proposed Order"). On August 2, 2021, staff for the SEC's Division of Trading and Markets published a public statement indicating that the SEC Chair did not intend to approve the Proposed Order in the short term. Accordingly, we will continue to operate our Expert Market for "No Information" securities, and proprietary broker-dealer quotes will not be permitted. The Expert Market will be available for unsolicited quotes only. Broker-dealers may use the Expert Market to meet their best execution obligations and publish unsolicited quotes representing limit orders from customers not affiliated with the issuer. Expert Market data feeds will continue to be available to broker-dealers and other sophisticated investors.

We continue to engage with the SEC on a regular basis regarding additional exemptive relief and general compliance with Amended Rule 15c2-11.

We have devoted, and continue to devote, significant technology, compliance, legal, personnel and other resources towards compliance with Amended Rule 15c2-11 in advance of the Compliance Date.

Our Corporate Services financial results have been impacted as a result of the amendments, with a marked increase in the number of companies applying for our Corporate Services products, particularly DNS, partially offset by an increase in headcount on our Issuer Services team.

Additional information on Amended Rule 15c2-11 is included in our Annual Report for the year ended December 31, 2020.

FINRA Rule 6432 Proposal

On June 9, 2021, FINRA filed a proposed rule change to amend existing FINRA Rule 6432 (Compliance with the Information Requirements of SEA Rule 15c2-11) (“Rule 6432”) to establish requirements for Qualified IDQSs that conduct initial information reviews under Rule 15c2-11. Under the proposed Rule 6432, Qualified IDQSs, such as OTC Link ATS, will be required to submit to FINRA (i) a modified Form 211 after the publication of the initial review determination, and (ii) a daily data file with specified information about securities quoted on the Qualified IDQS. OTC Link filed a comment letter related to the proposal on July 6, 2021.

The proposal to amend Rule 6432 remains under consideration by the SEC. We do not expect that the amended rule, if approved in its current form, will have a material impact on our financial results.

Consolidated Audit Trail

In 2016, the SEC approved a National Market System (NMS) plan to create a comprehensive database of trading activity, known as the Consolidated Audit Trail or CAT, for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations (“SROs”) and FINRA member broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. The initial phase of CAT reporting obligations applicable to OTC Link LLC and its broker-dealer subscribers began in June 2020.

Phase 2(c) of the CAT plan became effective in April 2021 and Phase 2(d) will become effective in December 2021. Our CAT reporting requirements are likely to result in increased compliance and technology costs that may eventually be material in the aggregate, however, we do not expect the implementation of the CAT plan to be material to our financial results in 2021 and will continue to evaluate its impact in future periods.

FINRA Rule 6439 and Retirement of the OTC Bulletin Board® (“OTCBB”) Service

On June 3, 2021, the SEC issued an order approving FINRA’s proposed rule to cease operation of the OTCBB and enhance the regulatory obligations related to member IDQSs by introducing proposed Rule 6439 (“Rule 6439”).

Rule 6439 would impose additional requirements on member IDQSs, such as OTC Link ATS, that permit quotation updates on a real-time basis. The requirements under Rule 6439 include monthly reporting obligations for order and quotation data, timely reporting of system disruptions and the implementation of certain compliance procedures.

We do not expect the closing of the OTCBB or Rule 6439 to have a material impact on our financial results.

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of August 1, 2021, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in 37 states: Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Virginia (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities. We believe recognition of our markets by state regulators and the

resulting Blue Sky exemptions make OTCQX and OTCQB more attractive to current and prospective companies. However, the impact of this initiative on our financial results is indirect, and therefore difficult to determine.

ESOP Fairness Act

On February 11, 2020, the ESOP Fairness Act (S.3270) (H.R.5851) was introduced by bipartisan cosponsors in the House and Senate and later gained additional co-sponsors in the 116th Congress. The ESOP Fairness Act would put qualified companies that meet established financial and disclosure standards, such as those traded on the OTCQX market, on par with exchange listed companies by allowing them to fully access the benefits of public company employee stock ownership plans, or ESOPs. The bill was reintroduced in the Senate on May 11, 2021. We would expect this legislation, if passed by Congress in its current form and signed into law, to have a positive effect on our financial results.

Trends in Our Business

The COVID-19 pandemic did not adversely affect our financial results in the three or six months ended June 30, 2021. However, considerable uncertainty still surrounds the continuing trajectory of the pandemic and its potential long-term effects on the global economy. The full scope and extent of the potential impact on our business in future quarters is dependent on a number of factors that are highly uncertain and cannot be predicted. Additional information regarding the impact of COVID-19 on our business is included in the *Risk Factors* section of our Annual Report for the year ended December 31, 2020.

In the three months ended June 30, 2021, our Corporate Services business saw continued growth in the number of companies joining our OTCQX and OTCQB markets, as well as a significant increase in the number of DNS applications. The Corporate Services growth resulted from strong sales and issuers seeking to comply with Amended Rule 15c2-11 in advance of the Compliance Date. Our OTC Link business continued to benefit from robust volumes on OTC Link ATS and OTC Link ECN, although trading activity moderated from the unprecedented levels reached earlier in the year. Our Market Data Licensing business continued to benefit from growth in users. For the quarter ended June 30, 2021, 71% of our revenues were derived from subscription-based arrangements that are recurring in nature and 29% were transaction-based revenues, compared to 83% and 17%, respectively, for the prior year quarter. Both components of our revenues increased substantially, compared to the prior year quarter, by 28% and 149%, respectively. Our business remains primarily subscription-based.

OTC Link

In our OTC Link business, the number of trades executed on OTC Link ECN and the number of quotes and trade messages on OTC Link ATS increased significantly during the three months ended June 30, 2021, compared to the prior year quarter. We executed an average of approximately 46,000 transactions per day on our OTC Link ECN during the three months ended June 30, 2021, compared to less than 9,000 transactions per day during the three months ended June 30, 2020. This contributed to significant revenue growth from our OTC Link ECN and was the primary driver of the 110% quarter over quarter increase in revenues from OTC Link. In addition, we added 2 new subscribers to OTC Link ECN during the second quarter and finished the quarter with 84 subscribers, up from 64 subscribers as of June 30, 2020.

We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing. OTC

Link ECN generated \$4.4 million in revenues for the second quarter of 2021 and paid \$2.5 million in transaction-based expenses in the form of rebates for posted liquidity, up from \$1.0 million in revenues and \$0.6 million in transaction-based expenses for the same prior year period. The transaction-based revenues and transaction-based expenses that OTC Link generates, as well as OTC Link's regulatory and clearing costs that are included in professional and consulting fees, are correlated with the volume of activity on our markets; however, future trading volumes are highly uncertain and cannot be predicted.

Market Data Licensing

In our Market Data Licensing business, we saw a 14% increase in professional users, from 22,533 professional users as of June 30, 2020 to 25,647 professional users as of June 30, 2021. The year over year growth in the number of users, helped drive a 14% increase in year over year revenues derived from professional users.

Following the outset of the COVID-19 pandemic, we saw a significant increase in the number of non-professional users of our market data by 75% to reach 28,977 users as of June 30, 2021, up from 16,545 users as of June 30, 2020. The marked increase in the number of non-professional users from the prior year period is likely related to increased retail participation in U.S. equity markets generally.

Effective January 1, 2021, we introduced fee increases for certain of our real-time, delayed and end-of-day data offerings.

We continue to focus resources on developing and enhancing the relevance of our compliance analytics and compliance data products for our market data subscribers. Our Canari[®] compliance tool provides users with a comprehensive view of quantitative compliance data for a wide spectrum of securities. As of June 30, 2021, a total of 47 firms subscribe to our Compliance Data or Compliance Analytics products, up from 44 firms as of June 30, 2020. These subscribers represent most of the largest banks, custodians and clearing firms in the U.S. equities space. Our compliance data offering also includes our Blue Sky Secondary Trading Compliance Data Product, which launched in September 2020.

Corporate Services

During the second quarter of 2021, our Corporate Services business continued to benefit from the strong sales and issuer engagement we saw beginning in the latter part of 2020 and during the first quarter of 2021.

As of June 30, 2021, 530 companies were traded on the OTCQX Best Market, up versus 415 companies as of June 30, 2020. The robust pace of OTCQX sales we experienced in the first quarter of 2021 accelerated during the second quarter. With downgrades and other service cancellations remaining largely consistent, sales growth has been the primary driver of the increase in companies on the OTCQX market.

Effective January 1, 2021, we raised our annual fees for our OTCQX market from \$20 thousand to \$23 thousand. Companies on our OTCQX market choose to renew their services at the end of each calendar year, effective for the following calendar year.

As of June 30, 2021, there were 1,020 companies on the OTCQB Venture Market, up from 885 companies as of June 30, 2020. Strong new sales as well as issuers seeking to enhance their current public disclosure in advance of the Amended Rule 15c2-11 Compliance Date drove the increase in companies on OTCQB during the second quarter compared to the prior year quarter. Additionally, new sales in the prior year quarter were negatively impacted by a combination of factors, including the COVID-19 pandemic and the strengthening of OTCQB eligibility requirements, the latter of which caused a reduction in the overall addressable market.

OTCQB companies renew on an annual or semi-annual basis, based on the date they joined the market. Effective January 1, 2021, we raised annual fees for our OTCQB market from \$12 to \$14 thousand for those paying annually, and from \$13 to \$15 thousand for those paying semi-annually. We also raised our OTCQB application fee and certain other Corporate Services fees. Historically, we have seen the vast majority, more than 90%, of OTCQB companies that remain in compliance with our OTCQB Standards choose to renew their services at the end of their service terms.

International issuers continued to be a significant driver of the growth in the number of companies on our OTCQX and OTCQB markets, and we saw increased sales from our UK office and our dedicated sales effort focused on the Australian market. We added 56 and 97 international issuers to our OTCQX and our OTCQB markets, respectively, during the second quarter of 2021, compared to 20 and 39 international issuers, respectively, during the same prior year period.

Regulatory and Legislative

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. Our markets are exempt under state Blue Sky laws in 37 states and our OTC Link ATS is a Qualified IDQS under Rule 15c2-11.

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and to advocate for changes that provide issuers with a more efficient public market. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market.

For additional disclosure related to our regulatory initiatives, including Amended Rule 15c2-11, see *Recent Regulatory Developments Impacting Our Business*, above.

General Business Matters

We continue to evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs comprise a very significant proportion of our overall expense base, representing approximately 80% of our total operating expenses in each of the quarters ended June 30, 2021 and 2020. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure.

We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to process increased volume of business and provide reliable services to our clients. Adding headcount also allows us to comply with our regulatory obligations, including those under Regulation Systems Compliance and Integrity (“SCI”), Amended Rule 15c2-11 and our CAT reporting responsibilities. We expect that future investments with respect to our compliance will be material to our financial results. Our headcount as of June 30, 2021 was 104, a modest increase versus our headcount of 102 employees as of June 30, 2020.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN, with transaction-based fees. Corporate Services charges application fees, and subscription fees on an annual and semi-annual basis. Market Data Licensing charges

distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements and are recurring in nature. Each of our business lines is described in detail below.

OTC Link

Our trading services business is operated by our wholly owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer[®] application provides broker-dealers a user interface into OTC Link ATS. Fees for use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS's FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for those orders which provide liquidity, while paying a fee for those orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses.

Market Data Licensing

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Market Data Licensing subscribers, including investors, traders, institutions, accountants, and regulators, pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our Market Data Licensing revenues from sales through market data redistributors.

Certain of our market data license agreements include redistribution fees and rebates, which represented 9% of Market Data Licensing gross revenues for the second quarter and first six months of 2021 and 10% for each of the respective periods of 2020.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include DNS for posting financial

reports, disclosure documents and news releases; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the issuer's website; the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws; and our VIC product, which allows issuers to communicate and engage with investors and potential investors.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive access to DNS, Real-Time Level 2 Quote Display, the Blue Sky Monitoring Service, and the VIC product.

Pink companies may subscribe separately to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through www.otcicq.com.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three and six months ended June 30, 2021 and 2020.

	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
OTC Link				
Number of active ATS subscribers ⁽¹⁾	83	85	83	85
Number of active ECN subscribers ⁽¹⁾	84	64	84	64
New Form 211 filings	200	71	397	146
Number of securities quoted ⁽¹⁾				
OTCQX	578	461	578	461
OTCQB	1,066	932	1,066	932
Pink	11,081	9,943	11,081	9,943
Total	12,725	11,336	12,725	11,336
<i>Dollar volume traded (in thousands):</i>				
OTCQX	\$ 60,030,483	\$ 18,806,577	\$ 137,629,588	\$ 40,378,640
OTCQB	8,795,680	5,814,296	25,858,024	10,498,614
Pink	100,643,782	82,380,000	234,706,999	173,806,989
Total	\$ 169,469,945	\$ 107,000,872	\$ 398,194,610	\$ 224,684,242
<i>Dollar volume per security (in thousands):</i>				
OTCQX	\$ 103,859	\$ 40,795	\$ 238,113	\$ 87,589
OTCQB	8,251	6,239	24,257	11,265
Pink	9,083	8,285	21,181	17,480
Corporate Services				
Graduates to a national securities exchange	46	9	75	25
<i>Number of corporate clients: ^{(1)/(2)}</i>				
OTCQX	530	415	530	415
OTCQB	1,020	885	1,020	885
Pink	999	690	999	690
Total	2,549	1,990	2,549	1,990
Market Data Licensing				
Market data professional users ⁽¹⁾	25,647	22,533	25,647	22,533
Market data non-professional users ⁽¹⁾	28,977	16,545	28,977	16,545
Market data compliance file users ⁽¹⁾	47	44	47	44

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services.

Financial Results

Consolidated Results from Operations

The table below presents comparative information from the Company's unaudited interim Condensed Consolidated Statements of Income for the three and six months ended June 30, 2021 and 2020.

(in thousands, except shares and per share data)	Three Months Ended June 30,			Six Months Ended June 30,		
	2021	2020	% change	2021	2020	% change
Gross revenues	\$ 25,450	\$ 17,099	49%	\$ 51,525	\$ 33,703	53%
Net revenues	24,704	16,393	51%	50,038	32,296	55%
Revenues less transaction-based expenses	22,217	15,786	41%	44,011	31,251	41%
Operating expenses	13,074	10,994	19%	26,449	21,971	20%
Income from operations	9,143	4,792	91%	17,562	9,280	89%
Operating profit margin	37.0%	29.2%		35.1%	28.7%	
Income before provision for income taxes	9,143	4,802	90%	17,567	9,306	89%
Net income	\$ 7,072	\$ 4,231	67%	\$ 13,910	\$ 8,091	72%
Diluted earnings per share	\$ 0.59	\$ 0.36	64%	\$ 1.16	\$ 0.68	71%
Weighted-average shares outstanding, diluted	11,778,886	11,587,268	2%	11,733,897	11,627,683	1%

Revenues and Transaction-Based Expenses

The following table presents OTC Markets Group's gross revenues by business line and consolidated revenues less transaction-based expenses for the three and six months ended June 30, 2021 and 2020.

(in thousands)	Three Months Ended June 30,			Six Months Ended June 30,		
	2021	2020	% change	2021	2020	% change
OTC Link	\$ 7,682	\$ 3,659	110%	\$ 17,963	\$ 6,979	157%
Market data licensing	8,586	6,858	25%	16,485	13,603	21%
Corporate services	9,182	6,582	40%	17,077	13,121	30%
Gross revenues	25,450	17,099	49%	51,525	33,703	53%
Redistribution fees and rebates	(746)	(706)	6%	(1,487)	(1,407)	6%
Net revenues	24,704	16,393	51%	50,038	32,296	55%
Transaction-based expenses	(2,487)	(607)	310%	(6,027)	(1,045)	477%
Revenues less transaction-based expenses	\$ 22,217	\$ 15,786	41%	\$ 44,011	\$ 31,251	41%

Gross Revenues increased by \$8.4 million, or 49%, and \$17.8 million, or 53%, in the second quarter and first six months of 2021, respectively, compared to the same periods in 2020.

- OTC Link revenues increased \$4.0 million, or 110%, and \$11.0 million, or 157%, in the second quarter and first six months of 2021, respectively. The increase was primarily driven by \$3.4 million, or 326%, and \$9.3 million, or 531%, growth from OTC Link ECN revenues in the second quarter and first six months of 2021, respectively, with an active U.S. equities market environment and new subscribers driving a significant increase in trading volume on the platform. Contributing to the increase in both periods was a \$287 thousand and \$700 thousand increase in revenues from OTC Link ATS messages and a

\$306 thousand and \$905 thousand increase in revenues from QAP One Statement fees, consistent with increased activity in the U.S. equity markets.

- Market Data Licensing revenues increased \$1.7 million, or 25%, and \$2.9 million, or 21%, in the second quarter and first six months of 2021, respectively. The increase in both periods was primarily driven by an increase in revenues from non-professional user licenses of \$500 thousand, or 96%, and \$1.0 million, or 114%, respectively, due to sustained retail interest in the U.S. equity markets. The increase was further impacted by a \$503 thousand, or 14%, and \$715 thousand, or 10%, increase in revenues from professional user licenses in the second quarter and first six months of 2021, respectively.
- Corporate Services revenues increased \$2.6 million, or 40%, and \$4.0 million, or 30%, in the second quarter and first six months of 2021, respectively. The revenue growth was driven by an increase of \$1.1 million, or 51%, and \$1.7 million, or 39% in OTCQX revenues, and \$927 thousand, or 31%, and \$1.3 million, or 22%, in OTCQB revenues for the second quarter and first six months of 2021, respectively, resulting from strong sales, solid renewal rate, and price increases introduced for renewing subscribers effective on January 1, 2021. The increase was further impacted by a \$343 thousand, or 34%, and a \$521 thousand, or 26%, increase in DNS revenue during the second quarter and first six months of 2021, respectively, due to companies seeking to comply with current public disclosure requirements under Amended Rule 15c2-11. VIC revenues increased \$182 thousand, or 112%, and \$365 thousand, or 139%, during the second quarter and first six months of 2021, respectively, driven by a higher number of hosted events and participating companies.
- Transaction-based expenses are comprised of rebates paid to subscribers providing liquidity on our OTC Link ECN and increased \$1.9 million, or 310%, and \$5.0 million, or 477%, in the second quarter and first six months of 2021, respectively. The increase was in line with an increase in volumes traded on our OTC Link ECN.

Operating Expenses

The following table presents OTC Markets Group's consolidated operating expenses for the three and six months ended June 30, 2021 and 2020.

(in thousands)	Three Months Ended June 30,			Six Months Ended June 30,		
	2021	2020	% change	2021	2020	% change
Compensation and benefits	\$ 8,497	\$ 7,380	15%	\$ 17,443	\$ 14,867	17%
IT Infrastructure and information services	1,876	1,560	20%	3,514	3,087	14%
Professional and consulting fees	1,076	725	48%	2,318	1,214	91%
Marketing and advertising	280	167	68%	484	410	18%
Occupancy costs	619	534	16%	1,232	1,091	13%
Depreciation and amortization	441	415	6%	885	830	7%
General, administrative and other	285	213	34%	573	472	21%
Total operating expenses	<u>\$ 13,074</u>	<u>\$ 10,994</u>	19%	<u>\$ 26,449</u>	<u>\$ 21,971</u>	20%

Operating expenses increased \$2.1 million, or 19%, and \$4.5 million, or 20%, in the second quarter and first six months of 2021, respectively, compared to the same periods in 2020.

- Compensation and benefits expenses increased \$1.1 million, or 15%, and \$2.6 million, or 17%, in the second quarter and first six months of 2021, respectively, primarily driven by higher incentive compensation. The increase during both periods was further impacted by higher sales commissions, resulting from the strong OTCQX and OTCQB sales in the second quarter and first six months of 2021. As a percentage of gross revenues, compensation and benefits costs represented 33% and 43% for the second quarter 2021 and 2020, respectively, and 34% and 44% for the six months ended June 30, 2021 and 2020, respectively.
- IT infrastructure and information services expenses increased \$316 thousand, or 20%, and \$427 thousand, or 14%, in the second quarter and first six months of 2021, respectively. The increase during both periods was primarily related to data center, network, and software license costs in supporting and enhancing the growth of OTC Link ECN. Also contributing to the increase during these periods was the higher spend required to improve system security and workstation equipment updates.
- Professional and consulting fees increased \$351 thousand, or 48%, and \$1.1 million, or 91%, in the second quarter and first six months of 2021, respectively. The increase during both periods was primarily related to higher regulatory and clearing costs from OTC Link ECN transaction volume surge, partially offset by lower legal costs due to one-time expenses related to litigation and CAT compliance matters unique to 2020.
- Marketing and advertising expenses increased \$113 thousand, or 68%, and \$74 thousand, or 18%, in the second quarter and first six months of 2021, respectively, primarily due to public relations spending. The increase in the second quarter was further associated with a rebound in sponsorship and event spend, while the increase in the six month period included a partial offset from lower travel and entertainment spend.
- Occupancy fees increased \$85 thousand, or 16%, and \$141, or 13%, in the second quarter and first six months of 2021, respectively, primarily driven by higher estimated real estate taxes.
- Depreciation and amortization increased \$26 thousand, or 6%, and \$55 thousand, or 7%, in the second quarter and first six months of 2021, respectively. The increase during these periods was primarily due to IT infrastructure enhancements in 2020.

- General, administrative and other fees increased \$72 thousand, or 34%, and \$101 thousand, or 21%, in the second quarter and first six months of 2021, respectively, primarily related to higher payment processing fees and bad debt expenses, partially offset by a decrease in office expenses.

Income from Operations and Operating Profit Margin

(in thousands)	Three Months Ended June 30,			Six Months Ended June 30,		
	2021	2020	% change	2021	2020	% change
Income from operations	\$ 9,143	\$ 4,792	91%	\$ 17,562	\$ 9,280	89%
Operating profit margin	37.0%	29.2%	27%	35.1%	28.7%	22%

Income from operations increased \$4.4 million, or 91%, and \$8.3 million, or 89%, in the second quarter and first six months of 2021, respectively, compared to the same periods in 2020. The Company's operating profit margin expanded during the three and six months ended June 30, 2021, benefiting from revenue growth, while the majority of the expenses remained less variable in nature and did not correlate to revenue changes.

Net Income

(in thousands, except shares and per share data)	Three Months Ended June 30,			Six Months Ended June 30,		
	2021	2020	% change	2021	2020	% change
Income before provision for income taxes	\$ 9,143	\$ 4,802	90%	\$ 17,567	\$ 9,306	89%
Provision for income taxes	2,071	571	263%	3,657	1,215	201%
Effective income tax rate	22.7%	11.9%	90%	20.8%	13.1%	59%
Net income	\$ 7,072	\$ 4,231	67%	\$ 13,910	\$ 8,091	72%

Net income increased \$2.8 million, or 67%, and \$5.8 million, or 72%, in the second quarter and first six months of 2021, respectively, compared to the same periods in 2020. The increase during these periods was due to the growth in income from operation partially offset by an increase in the Company's effective tax rate. The increase in the Company's effective tax rate for both periods primarily reflected the impact of previously recorded uncertain tax reversal and lower pretax income in the prior year.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services, enhance existing services, make capital expenditures, fund dividends and stock repurchases, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and, as described below, \$1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows (see *Line of Credit*, below).

Cash available for operations

The following table presents cash available for operations, which consists of cash as of June 30, 2021 and December 31, 2020.

(in thousands)	June 30,	December 31,	% change
	2021	2020	
Cash available for operations	\$ 42,998	\$ 33,733	27%

Cash available for operations increased \$9.3 million to \$43.0 million as of June 30, 2021, from \$33.7 million as of December 31, 2020. During the first six months of 2021, the Company generated \$15.0 million of cash from operations and utilized operating cash flows and cash on

hand to fund \$350 thousand investment in IT infrastructure enhancements, and to pay \$3.5 million in quarterly dividends and \$1.5 million in respect of repurchases of our common stock.

Cash Flow

The following table presents sources and uses of cash flows during the six months ended June 30, 2021 and 2020.

	Six Months Ended June 30,		% change
	2021	2020	
Net cash provided by operating activities	\$ 15,042	\$ 4,390	243%
Net cash used in investing activities	(350)	(404)	(13%)
Net cash used in financing activities	(5,427)	(7,196)	(25%)
Net Increase (decrease) in cash and restricted cash	\$ 9,265	\$ (3,210)	389%

Net cash provided by operating activities

Net cash provided by operating activities for the six months ended June 30, 2021 was \$15.0 million, as compared to \$4.4 million during the same prior year period. Cash provided by operating activities for the first six months consisted of net income of \$13.9 million, adjusted for non-cash items of \$2.2 million and changes in assets and liabilities of \$1.1 million. Adjustments for non-cash items to net income primarily consisted of depreciation and amortization expense of \$885 thousand and stock-based compensation expense of \$1.8 million, partially offset by excess tax benefits related to stock-based compensation of \$345 thousand. The increase in cash provided by operating activities during the first six months of 2021, as compared to the same prior year period, is primarily the result of an increase in net income and deferred revenue, partially offset by higher current year tax payments.

Net cash used in investing activities

Net cash used in investing activities during the six months ended June 30, 2021 was \$350 thousand, as compared to \$404 thousand during the same prior year period. The cash used in both periods was primarily related to purchases of IT equipment for our data centers.

Net cash used in financing activities

Net cash used in financing activities during the six months ended June 30, 2021 was \$5.4 million, as compared to \$7.2 million during the same prior year period. The cash used in both periods was primarily related to dividends paid to holders of our Class A common stock. The decrease in the use of cash in the current period was primarily related to the decline in the amount of the Company's share repurchases, from \$3.5 million in the same prior year period, to \$1.5 million during the current period.

Capital resources and working capital

OTC Markets Group's working capital at June 30, 2021 was \$22.6 million, an increase of \$10.5 million, or 86%, from \$12.1 million at December 31, 2020. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes, deferred tax assets and liabilities, and income taxes payable. The increase in working capital during the six months ended June 30, 2021 was primarily attributable to cash generated by operating activities.

Line of Credit

On July 7, 2012, the Company entered into a line of credit with JPMorgan Chase (the "Line of Credit") that provided up to \$1.5 million of available borrowing capacity to fund business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter

Bank Offered Rate (“LIBOR”). The Line of Credit has been extended through June 24, 2022. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. At June 30, 2021, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. We are not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

Exhibit 3.1 Unaudited interim condensed consolidated financial statements

Exhibit 9.1 Certification of principal executive officer

Exhibit 9.2 Certification of principal financial officer

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

EXHIBIT 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	June 30, 2021	December 31, 2020
Assets		
Current assets		
Cash	\$ 42,998	\$ 33,733
Short-term restricted cash	-	32
Accounts receivable, net of allowance for doubtful accounts of \$208 and \$194	7,743	6,609
Prepaid income taxes	801	356
Prepaid expenses and other current assets	1,078	1,375
Total current assets	52,620	42,105
Property and equipment, net	5,184	5,367
Operating lease right-of-use assets	15,497	14,844
Deferred tax assets, net	494	343
Goodwill	251	251
Intangible assets, net	40	40
Long-term restricted cash	1,564	1,532
Other assets	253	328
Total Assets	\$ 75,903	\$ 64,810
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	\$ 1,290	\$ 1,251
Accrued expenses and other current liabilities	8,678	9,965
Income taxes payable	16	16
Deferred revenue	20,069	18,765
Total current liabilities	30,053	29,997
Income tax reserve	892	801
Operating lease liabilities	15,163	14,466
Total Liabilities	46,108	45,264
Commitments and contingencies		
Stockholders' equity		
Common stock - par value \$0.01 per share		
Class A - 14,000,000 authorized, 12,450,580 issued, 11,769,213 outstanding at		
June 30, 2021; 12,346,491 issued, 11,709,857 outstanding at December 31, 2020	125	123
Additional paid-in capital	21,160	19,770
Retained earnings	22,149	11,770
Treasury stock - 681,367 shares at June 30, 2021 and 636,634 shares at December 31, 2020	(13,639)	(12,117)
Total Stockholders' Equity	29,795	19,546
Total Liabilities and Stockholders' Equity	\$ 75,903	\$ 64,810

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
Gross revenues	\$ 25,450	\$ 17,099	\$ 51,525	\$ 33,703
Redistribution fees and rebates	(746)	(706)	(1,487)	(1,407)
Net revenues	24,704	16,393	50,038	32,296
Transaction-based expenses	(2,487)	(607)	(6,027)	(1,045)
Revenues less transaction-based expenses	22,217	15,786	44,011	31,251
Operating expenses				
Compensation and benefits	8,497	7,380	17,443	14,867
IT Infrastructure and information services	1,876	1,560	3,514	3,087
Professional and consulting fees	1,076	725	2,318	1,214
Marketing and advertising	280	167	484	410
Occupancy costs	619	534	1,232	1,091
Depreciation and amortization	441	415	885	830
General, administrative and other	285	213	573	472
Total operating expenses	13,074	10,994	26,449	21,971
Income from operations	9,143	4,792	17,562	9,280
Other income				
Interest income	-	2	-	18
Other income, net	-	8	5	8
Income before provision for income taxes	9,143	4,802	17,567	9,306
Provision for income taxes	2,071	571	3,657	1,215
Net income	\$ 7,072	\$ 4,231	\$ 13,910	\$ 8,091
Net income per share				
Basic	0.60	\$ 0.36	\$ 1.18	\$ 0.69
Diluted	0.59	\$ 0.36	\$ 1.16	\$ 0.68

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	Six Months Ended June 30,	
	2021	2020
Beginning balance	\$ 19,546	\$ 17,673
Increase from net income	13,910	8,091
Dividends paid	(3,531)	(3,497)
Stock-based compensation	1,766	1,628
Issuance of restricted and common shares, net	(374)	(179)
Purchases of treasury stock	(1,522)	(3,520)
Ending balance	<u>\$ 29,795</u>	<u>\$ 20,196</u>

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)
(Unaudited)

	Six Months Ended June 30,	
	2021	2020
Cash flows from operating activities		
Net income	\$ 13,910	\$ 8,091
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	885	830
Provision for bad debts	43	(18)
Stock-based compensation	1,766	1,628
Excess tax benefits related to stock-based compensation	(345)	(363)
Deferred income taxes	(151)	498
Changes in assets and liabilities:		
Accounts receivable	(1,177)	(1,132)
Prepaid expenses and other current assets	297	(234)
Prepaid income taxes	(445)	285
Accounts payable	(239)	139
Accrued expenses and other current liabilities	(1,317)	(1,691)
Income tax payable	345	1,114
Income tax reserve	91	(866)
Deferred revenue	1,304	(3,687)
Other changes in assets and liabilities	75	(204)
Net cash provided by operating activities	15,042	4,390
Cash flows from investing activities		
Purchases of property and equipment	(350)	(404)
Net cash used in investing activities	(350)	(404)
Cash flows from financing activities		
Dividends paid	(3,531)	(3,497)
Issuance of restricted and common shares, net	(374)	(179)
Purchases of treasury stock	(1,522)	(3,520)
Net cash used in financing activities	(5,427)	(7,196)
Net decrease in cash and restricted cash	9,265	(3,210)
Cash and restricted cash at beginning of period	35,297	29,778
Cash and restricted cash at end of period	<u>\$ 44,562</u>	<u>\$ 26,568</u>
Reconciliation of cash and restricted cash:		
Cash	\$ 42,998	\$ 25,007
Long-term restricted cash	1,564	1,561
Total Cash and restricted cash	<u>\$ 44,562</u>	<u>\$ 26,568</u>
Supplemental Disclosure of Cash Flow Information		
Income taxes paid, net of refund	\$ 4,162	\$ 547
Non-cash investing activities:		
Property and equipment included in accounts payable or accrued expenses	378	151

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements

(in thousands, except share and per share information)

Note 1. Description of Business

Overview

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market and the Pink® Open Market for over 11,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission (“SEC” or the “Commission”) registered Alternative Trading System (“ATS”) operated by the Company’s wholly owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer, the Company connects a diverse network of broker-dealers that provide liquidity and execution services. OTC Markets Group enables investors to easily trade through the broker of their choice and empowers companies to improve the quality of information available for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link – OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group provides market data and compliance data for a wide spectrum of securities and companies. The Market Data Licensing business line provides investors, traders, institutions and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, through third party market data redistributors or Order Management Systems (“OMS”).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies access to a suite of services that are designed to facilitate public disclosure and communication with investors, promote greater transparency and allow companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service® (“DNS”), Real-Time Level 2 Quote Display, Blue Sky Monitoring Service and our Virtual Investor Conferences® (“VIC”) product.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” Corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (“U.S. GAAP”) and include the accounts of the Company and its wholly-owned subsidiaries, OTC Link LLC, OTC Markets Group International Ltd, and Qaravan® Inc., and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation. Management has assessed the segment reporting standards, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses, assesses performance and allocates resources; and has concluded that the Company has one reportable segment. Refer to Note 2, *Summary of*

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Significant Accounting Policies, from the Company's Annual Report for the year ended December 31, 2020 for a full discussion of significant accounting policies.

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2020. Operating results for the three and six months ended June 30, 2021 are not necessarily indicative of the results that may be expected for the year ending December 31, 2021.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the unaudited interim condensed consolidated financial statements include allowance for credit losses, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates. As the impact of the COVID-19 pandemic continues to unfold and additional information becomes available, some of our estimates and assumptions may change in future periods.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with FASB Accounting Standards Codification Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) identify the contract with the customer; (2) identify the performance obligations under the contract; (3) determine the transaction price; (4) allocate the transaction price to the separate performance obligations; and (5) recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including VIC, news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates two ATSS, OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer[®] application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Consolidated Balance Sheets. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for orders that provide liquidity, while paying a fee for orders that remove liquidity. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses. These fees are invoiced monthly, in arrears, and are due upon receipt. The Company recognizes transaction-based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market Data Licensing revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market, OTCQB Venture Market and a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter. The Company also charges for the right to host webcast presentations and online events on our VIC platform. VIC presentation fees are recognized at the point in time when the services are rendered, which corresponds to the date of the webcast and the point in time that the performance obligation is satisfied.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended June 30,					
	2021			2020		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 6,689	\$ 993	\$ 7,682	\$ 2,701	\$ 958	\$ 3,659
Market data licensing	263	8,323	8,586	26	6,832	6,858
Corporate services	441	8,741	9,182	81	6,501	6,582
Gross revenues	7,393	18,057	25,450	2,808	14,291	17,099
Redistribution fees and rebates	(29)	(717)	(746)	(10)	(696)	(706)
Net revenues	7,364	17,340	24,704	2,798	13,595	16,393
Transaction-based expenses	(2,487)	-	(2,487)	(607)	-	(607)
Revenues less transaction-based expenses	\$ 4,877	\$ 17,340	\$ 22,217	\$ 2,191	\$ 13,595	\$ 15,786

	Six Months Ended June 30,					
	2021			2020		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 16,008	\$ 1,955	\$ 17,963	\$ 5,060	\$ 1,919	\$ 6,979
Market data licensing	330	16,155	16,485	58	13,545	13,603
Corporate services	799	16,278	17,077	147	12,974	13,121
Gross revenues	17,137	34,388	51,525	5,265	28,438	33,703
Redistribution fees and rebates	(55)	(1,432)	(1,487)	(22)	(1,385)	(1,407)
Net revenues	17,082	32,956	50,038	5,243	27,053	32,296
Transaction-based expenses	(6,027)	-	(6,027)	(1,045)	-	(1,045)
Revenues less transaction-based expenses	\$ 11,055	\$ 32,956	\$ 44,011	\$ 4,198	\$ 27,053	\$ 31,251

The following tables present our revenues disaggregated by geography:

	Three Months Ended June 30,					
	2021			2020		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 7,682	\$ -	\$ 7,682	\$ 3,659	\$ -	\$ 3,659
Market data licensing	6,798	1,788	8,586	5,580	1,278	6,858
Corporate services	4,361	4,821	9,182	3,624	2,958	6,582
Gross revenues	18,841	6,609	25,450	12,863	4,236	17,099
Redistribution fees and rebates	(679)	(67)	(746)	(638)	(68)	(706)
Net revenues	18,162	6,542	24,704	12,225	4,168	16,393
Transaction-based expenses	(2,487)	-	(2,487)	(607)	-	(607)
Revenues less transaction-based expenses	\$ 15,675	\$ 6,542	\$ 22,217	\$ 11,618	\$ 4,168	\$ 15,786

	Six Months Ended June 30,					
	2021			2020		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 17,963	\$ -	\$ 17,963	\$ 6,979	\$ -	\$ 6,979
Market data licensing	13,079	3,406	16,485	11,117	2,486	13,603
Corporate services	8,386	8,691	17,077	7,284	5,837	13,121
Gross revenues	39,428	12,097	51,525	25,380	8,323	33,703
Redistribution fees and rebates	(1,351)	(136)	(1,487)	(1,268)	(139)	(1,407)
Net revenues	38,077	11,961	50,038	24,112	8,184	32,296
Transaction-based expenses	(6,027)	-	(6,027)	(1,045)	-	(1,045)
Revenues less transaction-based expenses	\$ 32,050	\$ 11,961	\$ 44,011	\$ 23,067	\$ 8,184	\$ 31,251

Accounts Receivable, net

As of June 30, 2021 and December 31, 2020, accounts receivable, net of allowance for credit losses were \$7,743 and \$6,609, respectively. The allowance for credit losses reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balances, specific account information, and our estimates of current and future economic conditions that may affect our customers' ability to pay.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Deferred Revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the six months ended June 30, 2021 and 2020:

	Six Months Ended June 30,	
	2021	2020
Balance at beginning of period	\$ 18,765	\$ 15,815
Net changes	1,304	(3,687)
Balance at end of period	20,069	12,128

During the six months ended June 30, 2021 and 2020, we recognized \$11,559 and \$10,408 of revenue, respectively, that was included in the balance of our deferred revenue at the beginning of the year.

Payment Terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

Note 4. Concentrations and Uncertainties

During the three and six months ended June 30, 2021, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 8% and 7% of gross revenues, respectively, as compared to 10% during each of the comparable prior year periods. As of June 30, 2021 and 2020, accounts receivable from that same redistributor amounted to 20% and 30% of total accounts receivable, respectively.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal or most advantageous market for that asset or liability.

Assets and liabilities on the unaudited interim Condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 6. Property and Equipment

Property and equipment consisted of the following:

	June 30, 2021	December 31, 2020	Estimated useful life (years)
Computer software	\$ 2,762	\$ 2,704	2 - 3
Computer equipment	5,726	5,092	3 - 5
Furniture and fixtures	691	691	5 - 7
Leasehold improvements	2,804	2,804	Term of lease
Total property and equipment	11,983	11,291	
Accumulated depreciation and amortization	(6,799)	(5,924)	
Total property and equipment, net	\$ 5,184	\$ 5,367	

Depreciation and amortization on property and equipment included in the unaudited interim Condensed Consolidated Statements of Income amounted to \$441 and \$885 for the three and six months ended June 30, 2021, respectively, and \$415 and \$830 during the comparable three and six months in 2020, respectively.

Computer software includes approximately \$0 and \$34 in unamortized website development costs, as of June 30, 2021 and December 31, 2020, respectively.

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in April 2021 and expires on January 31, 2028. These operating leases are recorded as operating lease right-of-use assets on the Company's unaudited interim Condensed Consolidated Balance Sheet as of June 30, 2021, and represent the Company's right to use the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses and other current liabilities and in the operating lease liabilities section on the Company's unaudited interim Condensed Consolidated Balance Sheet as of June 30, 2021.

Supplemental cash flow information related to leases was as follows:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
Cash Paid for operating lease liabilities	\$ 498	\$ 496	\$ 995	\$ 993
Right-of-use assets obtained in exchange for operating lease obligations	-	-	-	-

The components of lease expenses were as follows:

	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
Operating Lease cost	\$ 499	\$ 497	\$ 996	\$ 994
Short-term Lease cost	6	4	10	8
Total lease cost	\$ 505	\$ 501	\$ 1,006	\$ 1,002

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Supplemental balance sheet information related to leases was as follows:

	June 30, 2021	December 31, 2020
Operating lease right-of use assets	\$ 15,497	\$ 14,844
Other current liabilities	1,784	1,829
Operating lease liabilities	15,163	14,466
Total operating lease liabilities	16,947	16,295
Weighted-average remaining lease term	10 Years	11 Years
Weighted-average discount rate	4.7%	4.8%

Maturities of lease liabilities were as follows:

Remainder of 2021	\$ 879
2022	1,959
2023	1,982
2024	2,104
2025	2,160
Thereafter	12,504
Total lease payments	21,588
Less imputed interest	(4,641)
Total	\$ 16,947

Note 8. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	June 30, 2021	December 31, 2020	Estimated useful life (years)
Goodwill	\$ 251	\$ 251	Indefinite
Intangible assets:			
Website	\$ 100	\$ 100	2
Subscription services	150	150	8-15
Distributor relations	27	27	15
Intellectual property	40	40	Indefinite
Total intangible assets	317	317	
Accumulated amortization	(277)	(277)	
Intangible assets, net	\$ 40	\$ 40	

No amortization of finite-lived intangible assets was recognized for the three and six months ended June 30, 2021 and 2020 as the assets were fully amortized. No impairment charges were recorded to goodwill or intangible assets during the three and six months ended June 30, 2021 and 2020.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 9. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	June 30, 2021	December 31, 2020
Payroll and employee withholdings	\$ 5,511	\$ 6,740
Accrued operating expenses	1,383	1,397
Current operating lease liabilities	1,784	1,828
Total accrued expenses and other current liabilities	\$ 8,678	\$ 9,965

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commissions. The balance of payroll and employee withholdings as of December 31, 2020 represents a full year of accrual, which was paid out in February 2021.

Note 10. Stock-Based Compensation

OTC Markets Group grants stock options to employees and restricted stock awards (“RSAs”) to employees and directors. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is then amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and, in respect of compensation for our Board of Directors, professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

A summary of the Company’s option activity for the six months ended June 30, 2021 is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2021	569	\$ 25.06	\$ 5,164	6.82
Granted	108	39.20	98	
Exercised	(54)	20.86	936	
Forfeited	(29)	30.37	316	
Outstanding, June 30, 2021	594	\$ 27.75	\$ 14,825	6.95
Exercisable, June 30, 2021	258	\$ 20.78	\$ 8,231	5.15

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of \$143 and \$152 for the three months ended June 30, 2021 and 2020, respectively, and \$302 and \$321 for the six months ended June 30, 2021 and 2020, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees. Such charges are included in compensation and benefits expenses on the unaudited interim Condensed Consolidated Statements of Income.

As of June 30, 2021, unrecognized compensation cost related to non-vested stock options was \$1,684, which will be recognized over approximately 3.6 years.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

A summary of the Company's restricted stock activity for the six months ended June 30, 2021 is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2021	279	\$ 28.55	\$ 9,475
Granted	105	34.00	3,585
Vested	(95)	25.75	3,236
Forfeited	(16)	29.69	544
Outstanding, June 30, 2021	273	\$ 31.56	\$ 14,412

The Company recognized compensation expense, net of estimated forfeitures, of \$583 and \$529 for the three months ended June 30, 2021 and 2020, respectively, and \$1,389 and \$1,232 for the six months ended June 30, 2021 and 2020, respectively. Management has estimated forfeiture rates of 9% for RSAs granted to management and 15% for RSAs granted to other employees. In addition, the Company recognized professional fees of \$38 and \$37 for the three months ended June 30, 2021 and 2020, respectively, and \$75 for each of the six months ended June 30, 2021 and 2020, related to the issuance of RSAs to the Board of Directors.

As of June 30, 2021, unrecognized compensation cost related to non-vested RSAs totaled \$6,766, which will be recognized over approximately 3.5 years.

Note 11. Contingencies

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

Note 12. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A Common Stock, outstanding. Holders of Class A Common Stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A Common Stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A Common Stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at \$0.01 par value. As of June 30, 2021 there were a total of 12,450,580 shares issued and 11,769,213 shares outstanding. As of December 31, 2020 there were a total of 12,346,491 shares issued and 11,709,857 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A Common Stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 12, 2021, the Board of Directors

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A Common Stock.

During the six months ended June 30, 2021, the Company repurchased 44,733 shares of Class A Common Stock at an average price of \$34.01 per share for a total of \$1,522. During the same prior year period, the Company repurchased 102,938 shares of Class A Common Stock at an average price of \$34.20 per share for a total of \$3,520. All repurchased shares are held in treasury. As of June 30, 2021, there are 300,000 shares remaining to be purchased under the stock repurchase program.

Dividends

The Company declared a cash dividend of \$0.15 per Class A share during each of the three months ended June 30, 2021 and 2020, totaling \$1,766 and \$1,749, respectively. The Company declared cash dividends of \$0.30 per Class A share during each of the six months ended June 30, 2021 and 2020, respectively, totaling \$3,531 and \$3,497, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as adopted by the Board of Directors on May 7, 2019 and approved by a vote of the Company's stockholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares, and governs options awarded (refer to Note 10, *Stock-Based Compensation*). In each of November 2020 and 2019, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

Note 13. Income Taxes

The Company's effective tax rate was 22.7% and 11.9% for the three months ended June 30, 2021 and 2020, respectively, and 20.8% and 13.1% for the six months ended June 30, 2021 and 2020, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rate differs from the federal statutory rate primarily due to the recognition of the U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction available pursuant to provisions of the Tax Cuts and Jobs Act, and the impact of excess tax benefits from share-based compensation. During the first six months of 2021 and 2020, we recognized an income tax benefit related to the excess tax benefit on stock based compensation of \$345 and \$363, respectively.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. The gross amount of unrecognized tax benefits as of June 30, 2021 and December 31, 2020 was \$677 and \$601, respectively, and was classified in income tax reserve in the unaudited interim Condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. For the three and six months ended June 30, 2021, the Company recognized interest and penalties of \$20 and \$25, respectively. For the three and six months

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

ended June 30, 2020, the Company recorded a reduction of interest and penalties of \$220 and \$197, respectively. Interest and penalties accrued as of June 30, 2021 and December 31, 2020 were \$225 and \$200, respectively.

Note 14. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (refer to Note 10, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
Net income available to common shareholders	\$ 7,072	\$ 4,231	\$ 13,910	\$ 8,091
Less: Undistributed earnings allocated to unvested RSAs	(123)	(59)	(241)	(109)
Less: Dividend equivalents on unvested RSAs	(41)	(41)	(82)	(83)
Net income allocated to common shareholders	<u>\$ 6,908</u>	<u>\$ 4,131</u>	<u>\$ 13,587</u>	<u>\$ 7,899</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	<u>11,497,856</u>	<u>11,386,717</u>	<u>11,502,340</u>	<u>11,400,940</u>
Basic earnings per share	\$ 0.60	\$ 0.36	\$ 1.18	\$ 0.69

Diluted Earnings per common share

(in thousands, except shares and per share data)	Three Months Ended June 30,		Six Months Ended June 30,	
	2021	2020	2021	2020
Net income available to common shareholders	\$ 7,072	\$ 4,231	\$ 13,910	\$ 8,091
Less: Undistributed earnings allocated to unvested RSAs	(120)	(58)	(236)	(107)
Less: Dividend equivalents on unvested RSAs	(41)	(41)	(82)	(83)
Net income allocated to common shareholders	<u>\$ 6,911</u>	<u>\$ 4,132</u>	<u>\$ 13,592</u>	<u>\$ 7,901</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	11,497,856	11,386,717	11,502,340	11,400,940
Dilutive effect of employee stock options and RSAs	281,030	200,551	231,557	226,743
Weighted-average shares used in diluted computation	<u>11,778,886</u>	<u>11,587,268</u>	<u>11,733,897</u>	<u>11,627,683</u>
Diluted earnings per share	\$ 0.59	\$ 0.36	\$ 1.16	\$ 0.68

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 15. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6-2/3% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of June 30, 2021 and December 31, 2020 was \$5,875 and \$2,871, respectively, which exceeded the minimum net capital requirement by \$5,682 and \$2,659, respectively.

Note 16. Subsequent Events

For purposes of disclosure in the unaudited interim condensed consolidated financial statements, the Company has evaluated subsequent events through August 4, 2021, the date the financial statements were available to be issued.

On August 2, 2021, the Board of Directors authorized and approved a quarterly cash dividend of \$0.18 per share of Class A Common Stock. The quarterly cash dividend is payable on September 22, 2021 to our stockholders of record as of September 8, 2021.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson

R. Cromwell Coulson
Chief Executive Officer

August 4, 2021

Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Antonia Georgieva, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Antonia Georgieva
Antonia Georgieva
Chief Financial Officer

August 4, 2021
Date